KAZAKHSTAN STOCK EXCHANGE

Institutional Research Report

Market infrastructure, financial performance and strategy



Research cutoff: 21 October 2026

Compiled 22 October 2026 | English | KZT

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Report guide

PART I | Institutional research

Business model, governance, ownership, market context and enterprise risks.

PART II | Assets, income and expenses

Historical balance-sheet, capital, income, expense and profitability analysis.

PART III | Strategy and valuation

Strategic frameworks, valuation models and the original author’s recommendation.

Part I is the revised institutional review, with corrected source distinctions and integrated analysis. Parts II and III retain their original wording, numerical tables and conclusions, as requested; only their presentation has been standardized. Their preliminary figures and model assumptions have not been reconciled with the revised review.

Leadership imagery from the source report



Alia Moldabekova

Board of Directors chair



Adil Mukhamejanov

Management Board chair

Photographs and roles as presented in KASE Group Annual Report 2025, printed pp. 2–5 (PDF pages 3–4). These annual-report portraits do not independently establish leadership at the later research cutoff.

PART I

KASE Institutional Research Report

Strategic and financial review | Research cutoff: 21 October 2026

Revised 22 October 2026. Amounts are in KZT unless stated otherwise. This institutional review contains no investment rating, target share price or financial forecast.

Evidence basis: the supplied KASE Group annual reports, the original audited consolidated statements opened on KASE's website, and dated official announcements. Annual-report figures rounded to billions are retained at that precision. Undated pages accessed after the cutoff corroborate roles and infrastructure but do not prove an unchanged historical position.

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1 Executive summary • 2 Business model and market profile • 3 Strategic environment and PESTEL • 4 KASE and AIX • 5 Historical financial performance and shares • 6 Ownership, governance and leadership • 7 Enterprise risks • 8 News and interviews • 9 Conclusion • 10 References

1 Executive summary

KASE combines securities, foreign-exchange, money-market and derivatives trading within a shared market infrastructure. Its wholly owned subsidiary, KASE Clearing Centre (KACC), provides central-counterparty services. This creates recurring demand from banks, brokers, issuers and investors, while linking the Group's resilience to reliable trading, collateral management and settlement. Exchange turnover, Group operating income and the capitalisation of listed companies measure different things and must be read separately [1, printed pp. 12–13, 41–43].

The audited-results overview in the 2025 annual report records Group operating income of approximately KZT 30.0 billion, fee income of KZT 11.9 billion, gross interest income of KZT 18.2 billion, operating expenses of KZT 11.3 billion and net profit of KZT 15.3 billion. Interest income therefore represents approximately 60.7% of operating income, calculated from rounded figures; this is not a net interest margin [1, printed pp. 64–65].

The financial model benefits from market activity and investable balances, but those drivers are not interchangeable. Lower rates can reduce placement yields while improving issuer financing conditions. Technology investment can broaden access while increasing delivery and cyber risks. Governance must balance participant interests, dividends and the funding of resilient infrastructure. The National Bank's disclosed 47.00% shareholding is a plurality; bank-category ownership does not establish coordinated voting [4].

2 KASE business model and market profile

2.1 Services and economic channels

The Exchange earns trading, listing, membership, information and connectivity fees. Clearing fees arise within the Group's post-trade activities. Interest income is generated on eligible placements of financial resources, including balances associated with clearing; restrictions, investment mandates and

related obligations matter when interpreting those resources. KASE JSC, KASE Group and KACC are distinguished throughout this review [1, printed pp. 12–13, 63–65].

Activity	Service and financial transmission
Securities	Equities, government and corporate debt, KASE Global and fund instruments support trading and listing fees; issuance volumes and secondary liquidity can behave differently.
Foreign exchange	Currency trading supports price discovery and transaction fees; volatility can raise short-term turnover but also strain participant liquidity.
Money markets	Repo and currency swaps support funding and collateral management. Large turnover does not imply a proportionately large fee contribution.
Derivatives	Hedging products require broker distribution, market-making and dependable margin processes; product availability alone does not establish active demand.
Post-trade and information	KACC clearing services, data and connectivity contribute to the franchise; their costs, legal entities and contractual obligations differ.

Source: [1], printed pp. 12–13, 41–43 and 62–65. Transmission channels are analyst interpretation.

2.2 Verified market scale

2025 indicator	Value	Definition
Total trading turnover	KZT 400,798.5 bn	All KASE markets; gross trading value, not Exchange revenue.
Money-market turnover	KZT 334,048.9 bn	Repo and currency swaps.
Foreign-exchange turnover	KZT 51,226.6 bn	Separate from securities turnover.
Securities-market turnover	KZT 15,513.6 bn	The report’s securities-market scope.
Equity-market capitalisation	KZT 39.0 tn	Value of the listed equity market, not KASE’s own equity value.
KASE Index	7,031.32 points; +26.1%	Year-end level and annual index performance.

Source: [1], printed pp. 40–43, Table 4. Turnover components and totals retain the source’s units and rounding.

Money markets account for approximately 83.3% of aggregate turnover (334,048.9 / 400,798.5; analyst calculation). This mix explains why the headline total is unsuitable as a direct benchmark for an exchange reporting only securities transactions. It also means that issuer growth, fee yields and investor engagement are needed alongside turnover to assess the business franchise.

3 Strategic environment and PESTEL analysis

3.1 The most material external drivers

Interest rates and investable balances are the first driver. The National Bank lowered its base rate to 16.25% on 4 September 2026; September annual inflation was 9.3%. The large gross-interest share of Group operating income makes repricing material, but the actual profit effect depends on asset maturities, eligible balances, liability costs and pass-through. The policy rate is not a substitute for the yield earned on the portfolio [1, 7–8].

Market depth and financing demand are the second driver. The annual report records 2025 fee income growth of 20% and securities-market turnover growth of 20.1%. Completed listings, repeat issuance and active secondary trading can sustain fee income; additional accounts or products alone do not demonstrate monetisation. Higher financing costs may deter issuance even when market volatility increases trading [1, printed pp. 41 and 64–65].

Operational continuity and cross-border access are the third driver. Shared systems and clearing links can transmit disruption across markets. The annual report describes continuity planning, remote-site development, recovery testing and sanctions monitoring. These disclosed controls support resilience, while their operating effectiveness still depends on testing and remediation [1, printed pp. 78–85].

3.2 Six-factor PESTEL matrix

Factor	Verified evidence and date	Transmission to KASE	Financial or operational implications	Risk or opportunity	Response
Political	NBK ownership 47.00%, dated 1 Aug 2026 [4]; sanctions monitoring disclosed for 2025 [1, pp. 82–83].	Public-policy priorities, international restrictions and dependencies affect partners and market access.	Compliance and infrastructure costs; possible changes in foreign participation and fee activity.	Infrastructure support and market-development opportunities; access and concentration risks.	Map counterparties and vendors; review conflicts independently; maintain lawful alternative arrangements.
Economic	Base rate 16.25%, 4 Sep 2026 [7]; annual inflation 9.3%, Sep 2026 [8].	Rates affect placements and issuance costs; FX and commodity conditions affect liquidity and collateral.	Interest contribution, listing demand and transaction fees can move in different directions; wage and vendor costs face inflation.	Income repricing risk alongside potential recovery in financing demand.	Monitor net repricing gaps, effective yields, issuance conversion, collateral and participant funding.
Social	KASE Academy and financial-literacy work reported for 2025 [1, pp. 24–29]; tax-education cooperation announced 15 Oct 2026 [17].	Knowledge, trust and broker distribution influence participation and retention.	Active funded users can support fees; inactive accounts and marketing alone do not prove recurring revenue.	Broader access and savings participation; conduct and confidence risks.	Monitor active participation, retention and complaints; communicate product risks clearly.
Technological	Continuity and security arrangements disclosed for 2025 [1, pp. 82–85]; derivatives distribution remarks, 8 Oct 2026 [16].	APIs, brokers, vendors and recovery arrangements determine access and service availability.	Development, support and cyber costs precede uncertain adoption; outages interrupt services.	New distribution and efficiency opportunities; migration, custody and cyber risks.	Use release gates, reconciliation and rollback tests; test recovery across vendors and participants.
Environmental	Sustainable-development and ESG initiatives described for 2025 [1, pp. 30–33].	Transition financing can increase issuer demand; physical and transition risks affect issuers and collateral.	Potential listing and service fees; credit deterioration can weaken activity and collateral quality.	Sustainable-finance opportunity and greenwashing risk.	Assess use of proceeds and verification; monitor sector concentrations and climate-sensitive collateral.
Legal	KASE licences and governance framework described in the 2025 report [1, pp. 12–13, 66–73]; AIX operates in the AIFC/AFSA framework [10].	Listing, securities, AML, sanctions, data and post-trade obligations shape products and onboarding.	Compliance spending and launch timing; legal uncertainty can restrict access or raise disputes.	Clear rules support adoption; changes increase execution requirements.	Maintain dated obligations, legal approval gates, screening and product-specific tax advice.

Responses and transmission analysis are analyst proposals. They do not imply that an undisclosed control is absent.

4 Competitive landscape: KASE and AIX

Dimension	KASE	AIX
Ownership and governance	NBK and participant shareholder categories are disclosed; category totals do not establish a voting bloc [4].	Official shareholder page names AIFC Authority, China–Kazakhstan Production Capacity Cooperation Fund, Nasdaq and Shanghai Stock Exchange; no percentages asserted [9].
Regulatory framework	Kazakhstan securities-market legislation and national regulatory licences [1].	AIFC framework based on English common-law principles; supervised by AFSA [10].
Products	Securities, FX, repo/swaps and derivatives [1].	Equities, fixed income, structured products and funds [10].
Issuer base and listing activity	Broad domestic financing and treasury functions; issuer opportunities must be assessed by segment [1].	Domestic and international issuer access and a role in privatisation and cross-listings [10].
Investor access	Banks, brokers and eligible investors access a multi-market infrastructure [1].	Local and international members and CSD participants provide access [10–11].
Trading and post-trade	KASE trading and the separately identified KACC central-counterparty infrastructure [1].	Nasdaq-powered trading; AIX CSD provides post-trade infrastructure [9–11].
Technology and distribution	Shared trading/clearing systems and broker connectivity; continuity is central to the model [1].	International technology partners and member distribution; service availability does not prove equivalent liquidity [9–11].
Strengths and limitations	Broad domestic funding and collateral franchise; exposes earnings to monetary conditions and systemic infrastructure obligations.	International-facing securities proposition; liquidity, access and service costs must be compared instrument by instrument.

Sources: [1, 4, 9–11], accessed 22 October 2026 where undated. Positioning is analyst interpretation; undated descriptions do not independently date every capability to the cutoff.

The strongest competitive overlap concerns issuers, securities liquidity, investor access and distribution. KASE's FX and repo franchise makes its aggregate business scope broader than a securities-only comparison. AIX's international shareholders and AIFC framework may matter to particular issuers, but they do not establish that AIX is universally preferable. Execution quality, total access costs, custody arrangements and investor demand require product-level evidence.

No numerical ranking is made because a matched dataset with consistent dates, currency, transaction definitions and market coverage was not established. Likewise, no blanket tax advantage is assumed: investor residence, instrument status and transaction conditions must be checked under the applicable law. AIX's own description of benefits is not a substitute for that legal analysis.

5 Historical financial performance and share information

5.1 Comparable Group operating results

KZT bn unless stated	2023	2024	2025
Fee and commission income	8.124582	9.898636	≈11.9
Gross interest income	19.253044	15.806340	≈18.2
Operating income	27.381309	25.934002	≈30.0
Administrative/operating expenses	6.059908	8.149297	≈11.3
Profit before income tax	21.321401	17.784705	Not reproduced at exact precision
Net profit	18.518265	15.449871	≈15.3
Total comprehensive income	18.599109	15.449871	Not used as net profit
Net profit / operating income	67.6%	59.6%	≈51.0%
Operating expenses / operating income	22.1%	31.4%	≈37.7%

2023–2024: [2], consolidated profit-or-loss statement, printed p. 2 (PDF p. 8), including the restated comparative. Amounts converted from KZT thousand to KZT billion. 2025: [1], printed pp. 64–65, audited-results overview rounded to billions. Ratios are analyst calculations; 2025 ratios use rounded inputs.

The earlier draft confused 2023 net profit with total comprehensive income. The audited comparative separates KZT 18.518265 billion of profit from KZT 18.599109 billion of comprehensive income. Using the profit figures, the 2024 decline was 16.6% (analyst calculation). The annual report describes the further 2025 profit decline as approximately 1%, despite operating-income growth of 16%, because expenses rose by 39% [1–2].

Fee income and gross interest receipts both increased in 2025, while expenses grew faster than operating income. The annual report attributes 62% of 2025 operating expenses to personnel, 12% to depreciation and amortisation, and 7% to maintenance of fixed assets. These audited-results classifications should not be replaced with personnel percentages derived from a different preliminary reporting set [1, printed pp. 64–65].

Gross interest income is not the net return available to shareholders. Net interest contribution, taxes, restrictions on assets and intra-group eliminations must be considered. No hypothetical rate-to-profit coefficient is presented, and no unsupported causal explanation of the tax movement is retained.

5.2 Clearing positions, capital and liquidity

2025 year-end Group item	KZT bn, rounded	Interpretation
Total assets	5,995.8	Consolidated balance-sheet total.
CCP financial assets	5,610.9	Matched by the reported CCP financial-liability amount; not distributable shareholder cash.
Cash and cash equivalents	227.4	Availability must be assessed against obligations and restrictions.
Financial assets at amortised cost	113.2	Not all investment securities necessarily share one accounting category.
Reverse repo	33.8	Treasury and liquidity exposure.
Clearing-participant collateral and contributions	318.7	Liabilities associated with participant resources.
Equity	63.0	Annual-report rounded amount.
Retained earnings	50.0	Annual-report rounded amount.

Source: [1], printed p. 63 (PDF p. 33). Figures are Group amounts. Rounding prevents an exact balance-sheet reconciliation at the displayed precision.

Subtracting the rounded CCP financial assets from total assets gives KZT 384.9 billion; subtracting participant resources again gives KZT 66.2 billion (analyst arithmetic). These are analytical residuals, not audited “own assets” or a regulatory capital measure. Matching CCP assets and liabilities do not remove counterparty, market, liquidity or operational risk, and participant collateral cannot automatically be treated as unrestricted corporate liquidity. A current liquidity ratio requires the corresponding maturity and encumbrance notes.

5.3 Shares and dividends

Measure	Verified amount or calculation
Authorised / placed shares, 1 Aug 2026	5,000,000 / 1,075,231 [4].
2025 profit allocation, approved 28 May 2026	KZT 15,298,263 thousand of Exchange profit [3].
Dividend pool approved for 2025	KZT 4,589,483,743.47 [3].
Dividend per ordinary share	KZT 4,268.37 [3].
Arithmetic check	1,075,231 × 4,268.37 = KZT 4,589,483,743.47.
Payout using the approved profit amount	Approximately 30.0%; analyst calculation. Profit is reported in thousands, while the dividend pool is in tenge.

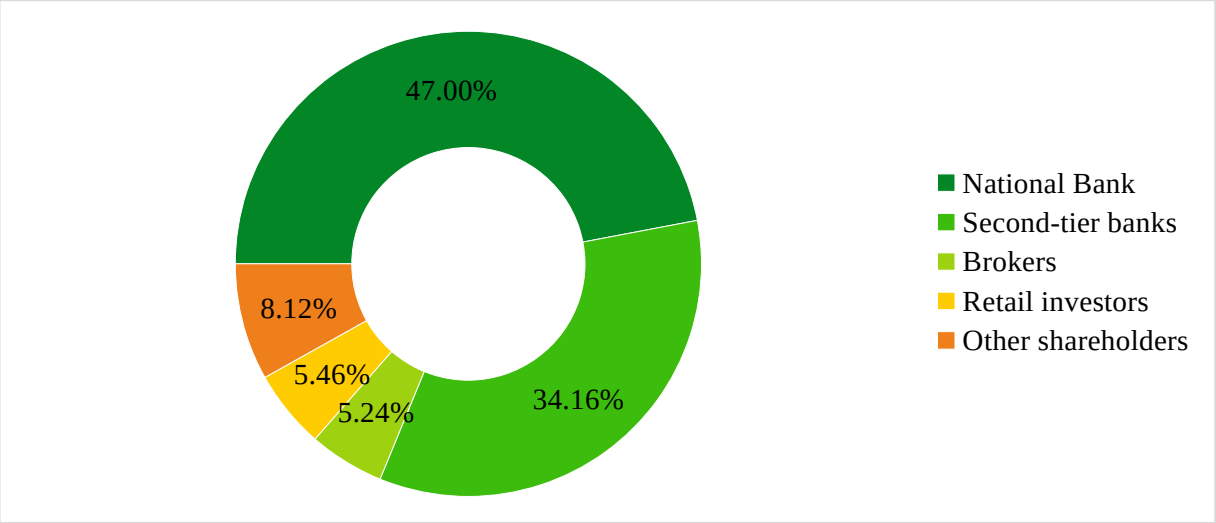
Sources: [3–4]. The issuer’s approved appropriation amount is not silently substituted for a separately presented Group measure. A declared dividend for 2025 is distinct from dividends paid during 2025.

No verified cutoff share price or price convention was established from the supplied workbook references, so current P/E, P/B, dividend yield and KASE’s own market capitalisation are not stated. Shareholder categories alone cannot establish tradable free float. The additional reports in Parts II–III retain their original model figures and valuation conclusions at the user’s request; those figures do not replace this section’s source-specific measurements.

6 Ownership, corporate governance and leadership

6.1 Shareholder structure

Shareholder category	Published share	Interpretation
National Bank of Kazakhstan	47.00%	Largest disclosed individual shareholder
Second-tier banks	34.16%	Aggregate category, not a single voting bloc
Brokerage firms	5.24%	Aggregate category
Retail investors	5.46%	Disclosed retail category
Other shareholders	8.12%	Insufficient detail to classify all as institutional
Total published	99.98%	Rounding difference of 0.02 percentage points



Source: [4], dated 1 August 2026. Editable Office chart with embedded workbook. Published labels total 99.98%; the chart geometry normalises this rounded total.

The published categories total 99.98%, leaving a 0.02 percentage-point rounding difference. NBK plus second-tier banks sum to 81.16%; adding brokers gives 86.40% (analyst calculations). These combinations are descriptive category sums, not evidence of common beneficial ownership, a voting agreement or legal control. The official disclosure identifies no other shareholder or concerted group meeting its stated major-shareholder threshold [4].

A participant-owned exchange must manage tensions between lower user charges, shareholder distributions and investment in reliable infrastructure. Independent review, recusals and transparent capital allocation can improve decisions; the ownership distribution itself does not establish that a conflict has occurred.

6.2 Board of Directors

Member	Role indicated on supplied KASE screenshot
Alia Moldabekova	Chairperson
Yeldar Abdrazakov	Board member
Yeszhan Birtanov	Board member
Doron Israeli	Independent director
Askar Yelemessov	Independent director
Adil Mukhamejanov	Board member; Management Board Chair
Bekzhan Pirmatov	Independent director
Yertai Salimov	Board member
Konstantin Saroyan	Independent director
Jan Willems	Independent director
Nurzhan Tursunkhanov	Board member

Source: official KASE management page [5], accessed 22 October 2026. Names in the retained roster are standardised to that page where necessary. The page is undated; the roster is supporting evidence rather than an archived proof of every seat at the 21 October cutoff.

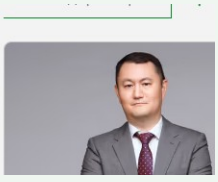
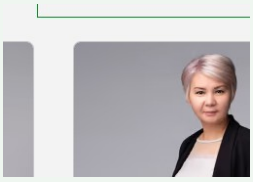
The observed roster contains eleven directors, of whom five are explicitly described as independent. The resulting 45.5% proportion is an analyst calculation (5 / 11). Alia Moldabekova chairs the Board of Directors; Adil Mukhamejanov is also the Management Board chair. Independent status is not inferred for unlabelled members [5].

The 2025 annual report describes strategic-planning, internal-audit and personnel/remuneration/sustainability oversight at the Exchange. KACC has its own governance and committee arrangements. Their committee titles and mandates should not be merged into one legal-entity structure [1, printed pp. 70–77].

6.3 Management Board and leadership portraits

Member	Position
Adil Mukhamejanov	Chairperson
Dana Amanzholova	Deputy Chairperson
Mikhail Grishko	Deputy Chairperson
Ainagul Iskakova	Deputy Chairperson
Zhainar Sarzhakov	Deputy Chairperson
Natalya Khoroshevskaya	Deputy Chairperson

Source: [6], announcement of 30 July 2026, effective 1 August 2026. Six members are listed. Natalya Khoroshevskaya's stated term runs through 1 July 2029; no subsequent change before the cutoff was independently identified.

Board of Directors chair	Management Board chair	Management Board deputy chair
		
Alia Moldabekova	Adil Mukhamejanov	Dana Amanzholova

Portraits: official KASE website screenshots supplied in the original report; attributed to KASE Management [5]. The annual report independently identifies the 2025 transition to Adil Mukhamejanov effective 31 March 2025 [1, printed pp. 72–73].

6.4 Financial leadership: Dmitry Tskhay



Photograph: B2B Events, named Dmitry Tskhay speaker profile [12], accessed 22 October 2026. Event-organiser portrait, not a KASE-issued photograph.

Kursiv's dated report of 23 January 2026 identifies Dmitry Tskhay as financial director and director of KASE's finance department. The B2B Events profile identifies him as KASE financial director and describes experience in finance, pharmaceuticals, IT and energy. The profile is undated: it corroborates the role but cannot establish uninterrupted employment at the research cutoff. No appointment date, education or board membership is inferred [12–13].

He is therefore presented among other senior executives and functional leaders, separately from both boards. Financial leadership is analytically relevant to the reconciliation of fee and interest income, liquidity restrictions, costs and capital commitments. These priorities are analyst interpretation, not an authenticated description of his individual mandate or a quotation.

6.5 Executive remuneration and assurance

For 2025, the annual report states that KASE JSC paid KZT 95,074,918 to members of its Board of Directors and KZT 300,837,751.03 to members of its Management Board. These are official aggregate amounts paid to the respective bodies, not an individual CFO salary and not KACC remuneration. The report describes salaries, bonuses and permitted one-off payments; it does not support allocating the aggregate to named individuals [1, printed pp. 72–73]. Personal declared income is omitted because it does not explain KASE's compensation costs.

The annual report attributes Fitch's BBB−/Stable credit rating and Thomas Murray's A+/Positive operational assessment to KACC. The assessments concern different dimensions and must not be treated as a single rating scale or as an issuer rating for KASE JSC [1, printed pp. 22–23].

7 Enterprise risks, prevention and mitigation

The risk register and heat map are analyst assessments. Likelihood and impact are scored on ordinal scales from 1 to 5; the score equals likelihood multiplied by impact. They are not company-reported probabilities, measured expected losses or management risk limits. Proposed responsible functions do not constitute verified formal assignments.

Disclosed controls include continuity policies, business-impact analysis, backup and recovery arrangements, training, testing, compliance monitoring and independent internal audit. The 2025 annual report documents these activities at Group and legal-entity level [1, printed pp. 78–85]. The proposals below are incremental controls to consider against that framework; absence of operational detail in public disclosures is not evidence that a control is missing.

7.1 Five-by-five heat map

Likelihood ↓ Impact →	1	2	3	4	5
5	—	—	—	—	—
4	—	—	R3 R8	R1 R2 R11 R12	—
3	—	—	R13	R7 R9 R10	R4 R5 R6
2	—	—	—	—	—
1	—	—	—	—	—

Analyst judgments. Prioritisation bands: 1–6 lower, 7–12 moderate, 13–19 high, 20–25 very high. Risk IDs and placements match the register; empty cells contain no assigned risk.

Monitoring identifies a developing exposure; prevention seeks to reduce the likelihood of an incident; mitigation limits disruption or loss while an incident unfolds; recovery restores service and reconciles obligations afterwards. These activities require different evidence and should not be collapsed into a generic recommendation.

7.2 Risk register and response plans

Risk and score	Root cause	Transmission	L	I	Early warning	Prevention	Mitigation and recovery	Proposed owner
R1 Market liquidity Score 16	Thin depth and episodic flows	Lower turnover reduces variable fees	4	4	Spreads, active clients, segment turnover	Market-maker design and participant diversification	Mitigate: targeted access support. Recover: review tariffs and client reactivation.	Markets and finance
R2 Rate sensitivity Score 16	Assets reprice faster than funding	Rate cuts reduce net interest contribution	4	4	Net repricing gap and effective yield	Asset-liability limits and scenario review	Mitigate: rebalance within mandate. Recover: revise cost and earnings plans.	Finance and treasury
R3 Revenue concentration Score 12	Large interest and key product exposures	One income shock affects total earnings	4	3	Revenue mix and largest fee sources	Develop recurring data and service income	Mitigate: discretionary cost flexibility. Recover: adjust product portfolio.	Strategy and finance
R4 Cyber and outage Score 15	Attack or critical system failure	Trading interruption and recovery cost	3	5	Critical vulnerabilities and recovery tests	Access controls, patching and penetration tests	Mitigate: isolate incident and fail over. Recover: reconcile and restore against tolerances.	Technology and security
R5 Clearing counterparty Score 15	Member default and collateral gap	Liquidity strain and default-management losses	3	5	Margin breaches and stressed exposures	Member limits, collateral haircuts and stress tests	Mitigate: apply default procedures. Recover: replenish resources and review limits.	KACC risk and clearing
R6 Sanctions access Score 15	Restricted entities or infrastructure	Settlement channels and partners unavailable	3	5	Screening alerts and blocked transactions	Entity screening and vendor dependency review	Mitigate: lawful alternative routes. Recover: reconcile stranded transactions with counsel.	Compliance and legal
R7 Governance conflicts Score 12	Shareholder and user interests overlap	Suboptimal tariffs or capital allocation	3	4	Related-party matters and recusals	Conflict register and independent challenge	Mitigate: independent committee review. Recover: reassess affected decisions.	Board and secretary
R8 AIX competition Score 12	Issuer and investor venue choice	Fee pressure or lost listings and flows	4	3	Matched-product share and issuer retention	Service quality and product economics review	Mitigate: targeted retention and access improvements. Recover: revise pricing and product mix.	Markets and strategy
R9 Regulatory change Score 12	New or revised obligations	Implementation costs and delayed launches	3	4	Obligation deadlines and overdue actions	Legal inventory and product approval gates	Mitigate: reprioritize delivery. Recover: remediate and validate compliance.	Legal and compliance
R10 Reputation Score 12	Misleading disclosure or executive conduct issue	Trust loss affects participation and access	3	4	Complaints and disclosure corrections	Disclosure checks and conduct controls	Mitigate: verified incident communication. Recover: independent review and remedial disclosure.	Communications and compliance

Risk and score	Root cause	Transmission	L	I	Early warning	Prevention	Mitigation and recovery	Proposed owner
R11 Macro and FX Score 16	Commodity shock and capital-flow reversal	Turnover spikes then contraction; collateral stress	4	4	FX volatility, oil and member funding stress	Joint market and liquidity stress scenarios	Mitigate: exposure limits and liquidity readiness. Recover: recalibrate stress assumptions.	Risk and finance
R12 Technology delivery Score 16	Vendor concentration and complex migration	Cost overruns, outages or delayed benefits	4	4	Milestone slippage and unresolved defects	Stage gates, parallel runs and exit planning	Mitigate: rollback and alternate capacity. Recover: reconcile data and rebaseline delivery.	Technology and procurement
R13 Climate and issuers Score 9	Concentrated carbon-intensive exposures	Issuer weakness affects listing and collateral quality	3	3	Sector exposure and ESG disclosure gaps	Issuer monitoring and verified green claims	Mitigate: exposure and collateral adjustments. Recover: revise issuer assumptions.	Listing and KACC risk

All thirteen scores were recalculated and all heat-map positions checked. Proposed actions and responsible functions are analyst proposals; the annual report supplies the disclosed-control context [1].

8 Recent news and leadership interviews

Publication / evidence type	Verified content and attribution	Analytical relevance
6 Oct 2026 — official account of forum remarks [15]	Adil Mukhamejanov, KASE Management Board chair, described tokenised capital-market instruments and the roles of KASE, Solana and BitGo.	Access and distribution opportunity; the announcement does not establish realised product revenue or unrestricted instrument eligibility.
8 Oct 2026 — official account of conference remarks [16]	Idel Sabitov spoke as KACC deputy Management Board chair. EUR/KZT and CNY/KZT futures were added on 5 October; broker distribution was the next focus.	Distinguish a KACC officer from a KASE executive; monitor adoption, liquidity and support costs.
15 Oct 2026 — official partnership announcement [17]	KASE announced cooperation with ReportiX and PKF Tax & Legal Kazakhstan on tax education and potential services.	May reduce participation barriers; pricing, scope and uptake remain unproven.
15 Oct 2026 — official event report [18]	Alla Li, KACC deputy Management Board chair, presented at FEAS/ConFEAS in Oman.	International outreach; promotional market totals are not the Exchange's operating income.

Source publication dates, not website clock or update dates. Interpretations are analyst assessments, not an event study or a representative sentiment sample.

8.1 Full interviews and role-specific interpretation

Alia Moldabekova's Kapital.kz interview was published on 21 September 2026. She spoke as National Bank deputy governor, explaining the exchange rate through foreign-currency supply, export conditions, external corporate borrowing and nonresident securities demand. Her policy explanation is relevant to KASE's liquidity environment; it is not Exchange earnings guidance [14].

Financier No. 1 (41), 2026 carries a full interview with Alina Aldambergen, explicitly identified as former KASE chair. She discusses issuer development, retail access, digital brokerage and clearing infrastructure. The issue supplies a year but no exact publication day, so it is retained as 2026 historical context rather than precisely dated cutoff news. Retrospective commentary is not evidence of current operational results [19].

No authenticated full CFO interview or video transcript was located in the reviewed source set. Forum reports above are labelled as reported remarks. No price reaction, avoided loss or new-product profit is inferred from an announcement.

9 Conclusion

KASE's institutional strength comes from the interaction of domestic trading, funding and post-trade services. Its principal financial challenge is to sustain fee income and control infrastructure costs while gross interest receipts remain material. Reliable collateral and recovery processes, transparent capital allocation and credible issuer access are central to that task. The evidence supports a source-specific historical assessment; it does not support a valuation conclusion or a mechanical prediction of profit from changes in the policy rate.

10 References

[1] KASE Group Annual Report 2025. Supplied English edition; reporting period 2025. Printed pages cited in the text. The official public link opens the Russian edition. Open source

[2] KASE JSC consolidated financial statements for 2024 with independent auditor’s report. Published 5 June 2025; 2023 comparative restated. Printed p. 2 (PDF p. 8). Open source

[3] KASE. AGM decisions, 28 May 2026: approved 2025 profit allocation and dividend. Open source

[4] KASE. Shareholder disclosure dated 1 August 2026; accessed 22 October 2026. Open source

[5] KASE. Management page, undated; accessed 22 October 2026. Open source

[6] KASE. Management Board composition, 30 July 2026, effective 1 August 2026. Open source

[7] National Bank of Kazakhstan. Governor’s base-rate statement, 4 September 2026. Open source

[8] Bureau of National Statistics. Inflation in Kazakhstan, September 2026. Open source

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PART II

KASE: Analysis of Assets, Income and Expenses

2. Analysis of assets

2.1 Scope, data and method

In this part of the work, we analyse the assets, capital, income, expenses, and profitability of KASE. The analysis is based on the consolidated IFRS statements of the group, which includes the exchange itself and its subsidiary, the Clearing Center KASE (acting as the central counterparty). The data for 2021–2022 is taken from the 2022 annual statements, the figures for 2023–2024 come from the 2024 annual statements, and the 2025 data is based on the Q4 2025 consolidated statements. All amounts are shown in KZT bn, and all ratios use year-end balances.

To conduct the research, three main methods are applied: horizontal analysis, vertical analysis, and financial ratio analysis (including the DuPont decomposition of return on equity.

The main methodological step here is to separate the balance sheet into two parts: the clearing positions of the CCP and the exchange's own balance sheet. This split was done in the Excel model (specifically in tabs FS and Own_Balance), and the tables below are based on that model.

2.2 Two balance sheets in one

Total assets of KASE reached 5,987 bn KZT at the end of 2025, but its equity was only 63 bn KZT. If we look just at these numbers, it looks like assets are 95 times higher than equity. However, the situation changes completely if we remove the clearing positions. As the central counterparty, KASE acts as the buyer for every seller and the seller for every buyer. These positions are shown as financial assets of the CCP and as equal financial liabilities of the CCP on the balance sheet. The exchange does not actually own them, and they do not bring any profit. In every year, these two amounts are exactly identical, which is confirmed by a zero check in my Excel model.

Table 1. Total and own balance sheet, bn KZT

Item	2021	2022	2023	2024	2025
Total assets	4,352.6	12,109.7	3,208.4	3,155.3	5,986.8
Clearing assets (CCP)	4,245.6	11,769.5	2,877.6	2,866.9	5,601.9
Own assets	107.0	340.3	330.8	288.3	384.9
Clearing share of total assets	97.5%	97.2%	89.7%	90.9%	93.6%
Equity	19.7	26.6	45.2	51.4	63.0
Total assets / equity	220.8x	454.7x	70.9x	61.4x	95.0x
Own assets / equity	5.4x	12.8x	7.3x	5.6x	6.1x

Therefore, the size of the balance sheet depends on clearing activity, not on the decisions of the exchange itself. For example, the jump to 12.1 t KZT in 2022 and the drop to 3.2 t KZT in 2023 happened because the volume of cleared repo positions at year-end is very volatile. A more meaningful indicator to look at is own assets. They stood at 385 bn KZT in 2025, which is 3.6 times higher than

the 2021 level. Leverage on own assets is 6.1 times, which is quite moderate and stable (it stayed between 5.4 and 7.3 times in all years except 2022).

We also need to make one more adjustment. A large part of own assets is funded by clearing participants' funds (guarantee contributions from brokers and banks). They amounted to 319 bn KZT in 2025 and are placed on the liability side. If we deduct them from own assets, the net own assets will be about 66 bn KZT. This is almost equal to the equity of 63 bn KZT, as shown in Table 2. So, from an economic point of view, the exchange has almost no leverage, because its own resources are financed by shareholders, while the participants' funds are just held as security and backed by liquid assets.

Table 2. Own assets net of participants' funds, bn KZT

Item	2021	2022	2023	2024	2025
Own assets	107.0	340.3	330.8	288.3	384.9
Clearing participants' funds	86.8	312.8	284.2	235.4	318.7
Net own assets	20.2	27.4	46.6	52.9	66.2
Equity	19.7	26.6	45.2	51.4	63.0

2.3 Horizontal and vertical analysis of own assets

Own assets mostly consist of liquid financial assets. In 2025, cash and cash equivalents amounted to 227.4 bn KZT (which is 59% of own assets), investment securities were 113.3 bn KZT (29%), and other assets like reverse repo, tax assets, and advances were 37.4 bn KZT (10%). Property and equipment took 5.1 bn KZT (1.3%), and intangible assets were 1.6 bn KZT (0.4%). If we combine cash, securities, and reverse repo, they make up about 97% of all own assets. This proves that the exchange does not need many physical assets, and its main asset for operations is the trading and clearing system, which is valued at only 1.6 bn KZT.

Table 3. Structure of own assets, bn KZT and % of own assets

Item	2024	Share	2025	Share	Change
Cash and equivalents	195.5	67.8%	227.4	59.1%	+16%
Investment securities	52.7	18.3%	113.3	29.4%	+115%
Other (reverse repo, tax, advances)	34.1	11.8%	37.4	9.7%	+10%
Property and equipment	4.4	1.5%	5.1	1.3%	+17%
Intangible assets	1.6	0.6%	1.6	0.4%	+1%
Own assets	**288.3**	**100%**	**384.9**	**100%**	**+33%**

The biggest change in 2025 was the shift from cash into securities. The amount of securities more than doubled, while cash grew by only 16%. This means that the management decided to move some liquidity into bonds with higher yields to increase interest income, though it also increases market and credit risks. To analyze the exact composition of this portfolio by issuers and ratings, we will need to look at the notes to the financial statements when the audited report is published.

2.4 Quality and liquidity of assets

The liquidity of KASE is quite high. For instance, the cash ratio (which is calculated as cash, reverse repo, and securities divided by own liabilities) was 1.16 times in 2025 and 1.18 times in 2024. Own liabilities consist almost entirely (around 99%) of participants' funds, which means that the exchange practically has no financial debt. Cash and reverse repo alone can cover 82% of these participants' funds, while the remaining part is held in securities that can be easily sold at market prices.

There are two important features that we should mention here. First of all, the quality of the portfolio heavily depends on the bond issuers and on the banks where cash is placed. This is because any loss on these placements would directly reduce the equity of the exchange. Secondly, reverse repo balances are used for short-term treasury management and change all the time. For example, they were 72.0 bn KZT at the end of 2023, 30.6 bn KZT in 2024, and 33.8 bn KZT in 2025. This high volatility affects the cash flow statement much more than the actual profit.

2.5 Capital and capital adequacy

Equity increased from 19.7 bn KZT in 2021 to 63.0 bn KZT in 2025 (growing 3.2 times). This growth happened mainly because of retained profit, since the share capital remained the same at 4.2 bn KZT. The reserve fund, which the exchange must keep according to securities law to protect against clearing risks, grew from 4.6 bn KZT to 7.8 KZT bn in 2025. In 2025, the group paid 4.5 bn KZT in cash dividends, which is about 30% of that year's net profit. This means most of the profit stays within the company. This conservative policy helps the exchange build a capital buffer to protect its clearing business.

Retained earnings reached 49.7 bn KZT and now make up 79% of total equity. This shows that the equity is of high quality because it was formed by profit generated inside the company, rather than by getting new money from external investors.

2.6 Conclusions on assets

The consolidated balance sheet is dominated by clearing positions (94% in 2025), which are matched by equal liabilities and do not represent risk or return for shareholders. Leverage of 95 times on total assets is therefore not a risk indicator. Own assets of 385 bn KZT are liquid (97% cash, securities and repo). Net of participants' funds the exchange's own balance sheet is about 66 bn KZT, almost equal to equity, so economic leverage is close to one. In 2025 the exchange moved liquidity from cash into securities, which raises interest income and also the credit and market risk of the portfolio. Capital is high quality (79% retained earnings) and grows steadily, with a 30% cash dividend payout.

3. Analysis of income and expenses

3.1 Structure and dynamics of income

Revenue, defined as operating income in the IFRS statements, grew from 7.2 bn KZT in 2021 to 30.1 bn KZT in 2025, which is 4.2 times. Revenue has two sources: fee and commission income, which comes from the core exchange and clearing business, and interest income on the placement of own funds and participants' funds.

Table 4. Revenue structure, bn KZT

Item	2021	2022	2023	2024	2025
Trading fees	1.52	2.09	3.01	3.76	4.48
Clearing fees	1.17	2.12	3.35	3.75	4.39
Listing fees	0.84	0.79	0.92	1.36	1.78
Membership, information and remote access	0.72	0.72	0.84	1.03	1.21
Total fees	**4.25**	**5.72**	**8.12**	**9.90**	**11.86**
Interest income	3.07	6.43	19.25	15.81	18.24
Other income, net	-0.11	-0.21	0.00	0.23	-0.01
Revenue	**7.20**	**11.94**	**27.38**	**25.93**	**30.09**
Interest share of revenue	42.6%	53.9%	70.3%	60.9%	60.6%

Fee income is the stable core. It grew every year, from 4.3 bn KZT to 11.9 bn KZT, and rose by 20% in 2025. Trading and clearing fees together account for 29% of revenue, and listing fees rose by 31% in 2025 to 1.8 bn KZT, which signals a recovery of issuer activity. Clearing fees grew faster than trading fees over the period (3.8 times against 2.9 times), which reflects the growing role of the central counterparty.

3.2 Interest income and dependence on the NBK base rate

The sharp growth of revenue came mainly from interest income. Between 2021 and 2025 interest income grew by 15.2 bn KZT, which is 66% of the total revenue increase of 22.9 bn KZT, while fees contributed 33%. The interest share of revenue rose from 43% in 2021 to 70% in 2023, then returned to 61% in 2024 and 2025.

The working hypothesis is that the high level of the National Bank's base rate in 2023 inflated interest income, because KASE places its own funds and participants' funds in short-term instruments, securities and reverse repo. The data support this: interest income rose from 6.4 bn KZT in 2022 to 19.3 bn KZT in 2023, fell by 18% to 15.8 bn KZT in 2024 and recovered by 15% in 2025 to 18.2 bn KZT, a pattern that follows the interest rate cycle and the growth of balances, whereas fee income grew smoothly. For example, according to the National Bank data, the base rate was 9.75% at the end of 2021, jumped to 16.75% in 2022, stayed at a high 16.75% during most of 2023, and then started to decline in 2024 and 2025.

The consequence is that more than half of revenue depends on a variable that the exchange does not control, and that the National Bank is both the main shareholder (47%) and the author of the rate decisions. This is a key business risk and the basis of the sensitivity analysis in Section 3.7.

3.3 Operating expenses

Table 5. Operating expenses, bn KZT

Item	2021	2022	2023	2024	2025
Personnel	1.91	2.43	3.74	4.86	7.86
IT, depreciation and maintenance	0.47	0.65	1.00	1.47	1.60
Other operating expenses	0.53	0.91	1.33	1.82	1.94
Total operating expenses	**2.91**	**3.99**	**6.06**	**8.15**	**11.40**

Operating expenses rose 3.9 times in four years, from 2.9 bn KZT to 11.4 bn KZT, which is slower than revenue over the whole period but much faster in the last year. In 2025 revenue grew by 16%, while operating expenses grew by 40%. Personnel costs are the main driver. They are 69% of expenses

and grew by 62% in 2025, from 4.9 bn KZT to 7.9 bn KZT. Within personnel costs, salaries and bonuses grew by 45% (4.55 bn to 6.59 bn KZT), while the line for social security contributions rose from 0.31 bn KZT to 1.28 bn KZT, about four times.

IT, depreciation and maintenance (14% of expenses) rose by 9%, and other expenses (17%) by 6%, so they are not the source of the pressure. Capital expenditure is small: 0.5 bn KZT in 2025, or 1.8% of revenue.

3.4 Profitability

Table 6. Profit and profitability ratios

Indicator	2021	2022	2023	2024	2025
Profit before tax, KZT bn	4.29	7.95	21.32	17.78	18.69
Net profit, KZT bn	3.91	6.82	18.52	15.45	15.04
Net margin (ROS)	54.2%	57.1%	67.6%	59.6%	50.0%
Cost / income	40.4%	33.4%	22.1%	31.4%	37.9%
ROE	19.8%	25.6%	40.9%	30.0%	23.9%
EPS, KZT	3,632	6,342	17,223	14,369	13,992

Net profit grew from 3.9 bn KZT in 2021 to a peak of 18.5 bn KZT in 2023, then declined to 15.4 bn KZT in 2024 and 15.0 bn KZT in 2025. The decline in 2024 was caused by lower revenue (interest income fell by 18%) combined with rising costs, while the decline in 2025 came entirely from costs: revenue grew by 16%, but costs grew by 40%, and the effective tax rate rose. Cost/income ratio therefore rose from 22% at the peak to 38%, and the net margin fell from 68% to 50%.

The DuPont decomposition shows why ROE is high. In 2025, ROE of 23.9% equals a net margin of 50.0%, multiplied by asset turnover of 0.078 (revenue divided by own assets), multiplied by an equity multiplier of 6.1. In 2024 the same figures were 59.6%, 0.090 and 5.6, which gave 30.0%. The margin is exceptionally high, because the exchange sells services with little capital, while turnover is low because own assets include the liquid balances placed in securities. The fall of ROE from 30% to 24% is explained by the lower margin and lower turnover, while leverage rose only slightly. Return on own assets was 3.9% in 2025.

3.5 Taxation

The statutory corporate income tax (CIT) rate in Kazakhstan is 20%. However, the effective tax rate, which is calculated as tax expense divided by profit before tax, was different: 9.0% in 2021, 14.3% in 2022, and 13.1% in both 2023 and 2024. In 2025, it rose sharply to 19.5%. The low rates in the period from 2021 to 2024 show that a large part of the exchange's income (most likely interest from government securities and National Bank notes) was exempt from tax or taxed at lower rates. The increase to 19.5% in 2025 means that this tax advantage practically disappeared. Because of this, net profit decreased more than profit before tax. For example, while profit before tax actually rose by 5.1%, net profit fell by 2.6%. This change happened because of the amendments to the tax legislation that removed CIT exemptions on interest income from government bonds for financial organizations, which also aligns with the stricter rules of the upcoming new Tax Code.

3.6 Cash flow

The cash flow statement must be read with care, because clearing participants’ funds pass through operating activities. In 2025 net cash from operating activities was 96.8 bn KZT, but 89.0 bn KZT of it was an increase in participants’ funds, which is not the exchange’s own money. Without it, the

operating cash flow was 7.8 bn KZT, about half of net profit (0.5 times). The gap arises mainly because interest income is accrued earlier than it is received. Capital expenditure was 0.5 bn KZT, so own free cash flow was about 7.3 bn KZT. Dividends paid of 4.5 bn KZT were covered by this cash flow. In 2023 and 2024, cash flow ratios were distorted by changes in reverse repo balances (an outflow of 36 bn KZT in 2023 and an inflow of 41 bn KZT in 2024), so the most reliable conclusions can be drawn for 2025.

3.7 Sensitivity to the NBK base rate

Because 61% of revenue is interest income, the model tests how profit changes when the base rate moves by −2, −1 and +1 percentage points. The assumptions are: interest income moves in proportion to the rate, operating expenses are unchanged, tax is charged at the 2025 effective rate of 19.5%, and the dividend payout is the 2024 level of 30%. With interest income of 18.2 bn KZT, each change of the rate changes pre-tax profit directly.

Table 7. Sensitivity of 2025 profit to the NBK base rate

Scenario	Net profit change	Net profit, KZT mn	EPS, KZT
Rate −2 pp	-12%	13238	12311
Rate −1 pp	-6%	14141	13152
Base case (2025)	0%	15044	13992
Rate +1 pp	+6%	15948	14832

As we can see from Table 7, these calculations show how much KASE's net profit depends on the interest rate cuts by the National Bank. For example, if the base rate drops by 2 percentage points, the net profit will decrease by 12% and fall to 13,238 mn KZT, and EPS will drop to 12,311 KZT. If the rate goes down by 1 percentage point, net profit falls by 6% to 14,141 mn KZT. On the other hand, if the rate goes up by 1 pp, profit will grow by 6% to 15,948 mn KZT.

However, we should remember that this is a simplified model. It assumes that all interest income changes immediately together with the base rate. In reality, this effect might be a bit smaller because a part of the exchange's portfolio is kept in fixed-rate bonds, so their income won't change right away.

3.8 Conclusions on income and expenses

1. In conclusion, total revenue increased by 4.2 times between 2021 and 2025. Interest income was the main driver and gave 66% of the growth, while fees gave 33%. Thus, the exchange depends on the National Bank's rate, and interest made up 61% of revenue in 2025.
2. Fee income is the most stable part of the business because it was growing every year. In 2025, it increased by 20% due to growth in trading, clearing and listing sectors.
3. I found that net profit decreased in 2024–2025 mostly because of high expenses. In 2025, costs increased by 40% but revenue grew only by 16%. The main reason was personnel costs (+62%) and the fact that the effective tax rate rose from 13% to 20%.
4. Financial efficiency is still at a good level, because net margin is 50% and ROE is 24%. But we can see that the cost-to-income ratio got worse, changing from 22% to 38% since 2023.
5. The biggest risks for the company are the decline of the base rate and fast growth of costs. Based on this, I can recommend the exchange to increase fee income, control personnel costs, and focus more on the IPO pipeline and market data services.

PART III

PART 2. STRATEGIC ANALYSIS, VALUATION AND INVESTMENT RECOMMENDATION

JSC Kazakhstan Stock Exchange (KASE) · Valuation date: 10 September 2026 · Prepared by: Sabina Turlybek

In this part we look at where KASE stands strategically and what its ordinary shares are worth. We start with five strategic tools: SWOT, Porter's Five Forces, PESTEL, VRIO and the Ansoff matrix (Section 2.1). Then we value the shares with a two-stage dividend discount model (Section 2.2) and check the result with justified P/E and P/B multiples (Section 2.3). Section 2.4 compares the market price with the fundamentals, and Section 2.5 gives our recommendation. All numbers come from our team's Excel model (KASE_Cases_in_Finance.xlsx), which is built on KASE's consolidated IFRS statements for 2021–2025. Amounts are in tenge (KZT).

2.1. Strategic analysis

2.1.1. SWOT analysis

For the SWOT we used two kinds of evidence. The internal side (strengths and weaknesses) is based on ratios from our model, and the external side (opportunities and threats) on KASE's 2025 market results and the macro situation in September 2026. Table 1 shows the matrix.

Table 1 — SWOT matrix of KASE

Strengths (S)	Weaknesses (W)
• Core market infrastructure: FX, government bonds, repo and central counterparty (CCP); clearing positions = 94% of the balance sheet • High profitability: ROE 23.9%, net margin 50% (2025) • Fast capital growth: equity ×3.2 since 2021, to KZT 63.0 bn • No financial debt; cash ratio 1.16x, own assets / equity 6.1x • Strong anchor shareholders: NBK 47.0%, second-tier banks 34.2% • Regular dividends: payout 50% for 2023, 30% for 2024–2025	• 61% of 2025 revenue is interest income, not trading fees • Costs grow faster than revenue: opex +40% vs revenue +16% in 2025 • Efficiency worsened: Cost/Income 31% → 38% • Net profit −2.6% in 2025 • Volume concentrated in the money market: KZT 334.0 of 400.8 trn (83%) • Own shares illiquid (non-listed sector)

Strengths (S)	Weaknesses (W)
Opportunities (O)	**Threats (T)**
• Fast-growing segments in 2025: corporate bonds +38.1%, FX +34.7%, MFO bonds +44.5%, KASE Global ×3.7 • Equity market growth: KASE Index +26.1%, market cap KZT 39.0 trn (+18.7%) • Fee income CAGR 2021–2025: 29% • IPO/SPO pipeline and growing retail investor base • New products: derivatives, fund units (+53.3%), ESG bonds; Central Asian hub	• NBK rate cuts 18% → 16.25% (June–September 2026): −2 pp ⇒ net profit −12% • Competition from AIX (AIFC) for IPOs and issuers • Sanctions risk: 13.1% ex-MOEX stake held by two Russian funds since October 2024 • Cyber attacks and trading-system outages • Macro: inflation 9.8% y/y (August 2026), tenge volatility

Source: team financial model (SWOT tab); KASE IFRS 2021–2025; KASE market results 2025; kase.kz shareholder data (01.08.2026); NBK decision of 04.09.2026.

KASE is the core of Kazakhstan's financial market. Most tenge FX trading, government bonds and repo go through it, and its clearing subsidiary is the central counterparty for these markets. That is why 94% of the balance sheet is clearing positions. At first this looked strange to us, but these assets are matched by equal clearing liabilities, so they do not add risk for shareholders. Without them, own assets are only about six times equity, and KASE has no loans at all. The business is also very profitable: ROE was 23.9% in 2025 and the net margin was 50%. Equity more than tripled, from KZT 19.7 bn in 2021 to KZT 63.0 bn in 2025, and with the National Bank (47%) and the banks (34%) as owners, the shareholder base is stable.

The biggest weakness we found is where the money comes from. In 2025, 61% of revenue was interest on placed liquidity, not trading or listing fees. So KASE's profit depends more on the National Bank's rate than on how active the market is. Costs are another problem. Operating expenses rose by 40% in 2025, mostly because personnel costs went up 62%, while revenue grew only 16%. As a result, cost-to-income went from 31% to 38% and net profit fell by 2.6%. We also noticed that 83% of trading volume is the low-margin money market, and that KASE's own shares hardly trade.

On the positive side, the segments that grow fastest are the ones that bring fees. In 2025 corporate bond trading grew by 38.1%, FX by 34.7%, MFO bonds by 44.5%, and KASE Global (foreign securities) almost quadrupled. The KASE Index rose by 26.1% and market capitalisation reached KZT 39.0 trn. Fee income has grown by about 29% a year since 2021. New listings of state companies, more retail investors, derivatives, fund units and ESG bonds could keep this going, and KASE also wants to become a hub for Central Asia.

The main threat is falling interest rates. The National Bank cut the base rate three times in 2026, from 18% to 16.25%, and our sensitivity analysis shows that a 2-point cut takes about 12% off KASE's net profit. AIX competes for IPOs and issuers with tax incentives and English law. The 13.1% stake that used to belong to the Moscow Exchange is now held by two Russian funds, which is a sanctions and reputation risk. Cyber attacks, system failures and high inflation (9.8% in August 2026) are also on the list.

Overall, KASE is a strong, debt-free business, but its earnings are very sensitive to interest rates. In our view, its main task is to earn more from fees (bonds, FX, KASE Global, derivatives, listings) and less from interest, and to bring cost-to-income back to around 30%.

2.1.2. Porter's Five Forces

Next we used Porter's Five Forces to see how much competitive pressure KASE faces. We scored each force from 1 (very weak) to 5 (very strong) and called 1–2 low, 3 medium and 4–5 high.

Table 2 — Porter's Five Forces for KASE

Force	Intensity	Score	Key arguments and evidence
1. Industry rivalry	**Medium**	3	KASE dominates FX, repo and government-bond trading. AIX competes mainly for equity listings and IPOs (e.g. Air Astana listed on both exchanges in 2024). Listing fees are only 6% of 2025 revenue.
2. Threat of new entrants	**Low**	1	Regulatory licences, CCP capital and guarantee funds, trading and clearing IT and, above all, network effects: liquidity already sits on KASE. Clearing positions reach KZT 5.6 trn.
3. Bargaining power of buyers	**Medium**	3	Main clients are large banks and brokers; banks own 34.2% of KASE and sit on the board, influencing tariffs. Issuers can choose AIX or foreign exchanges; retail investors are fragmented.
4. Bargaining power of suppliers	**Medium**	3	Trading and clearing systems are critical and costly to switch; technological independence matters more after cooperation with MOEX ended in 2024. Skilled IT staff are scarce: personnel costs +62% in 2025.
5. Threat of substitutes	**Medium**	3	OTC trades, direct interbank FX deals, foreign brokers for global stocks, and bank deposits (attractive at a 16.25% base rate) as an alternative to bonds.
Average pressure / attractiveness		**2.6**	**Industry attractiveness for KASE: High**

Source: team financial model (Porter tab).

The clearest result is that it is very hard to enter this market. A new exchange would need licences, capital for a central counterparty and, most of all, liquidity, and liquidity is already on KASE. In FX, repo and government bonds KASE has almost no competition. AIX is a real competitor, but only in equities and IPOs, which bring a small share of revenue. Buyers, suppliers and substitutes put moderate pressure on KASE. The average score is 2.6 out of 5, so we see the industry as attractive for KASE. Its main risks come from outside, such as interest rates, sanctions and IT, not from competitors.

This matters for the valuation in two ways. KASE's profitability looks protected, so we can assume it stays above the cost of capital in the long run. But growth will depend on the rate cycle and on how fast fees grow, which is why we used a moderate growth rate in Section 2.2.

2.1.3. PESTEL analysis

Porter's model covers the industry, so we added PESTEL to look at the wider environment. Table 3 shows the six factors and how we think they affect KASE.

Table 3 — PESTEL analysis of KASE

Factor	Key developments (as of September 2026)	Effect on KASE
Political	The National Bank owns 47% and steers market development; the state programme of IPOs of state-owned companies brings new issuers; the 13.1% stake held by Russian funds since 2024 keeps KASE exposed to the sanctions agenda.	**Mixed**
Economic	The NBK cut the base rate from 18% to 16.25% in June–September 2026; with 61% of revenue from interest income, a 2 pp cut lowers net profit by ≈12%. Inflation 9.8% (August 2026); GDP growth forecast 4.5–5.5% for 2026.	**Negative**
Social	The retail investor base is growing and people's IPOs raise interest in the stock market, but financial literacy and trust in capital markets are still limited.	**Positive**
Technological	After cooperation with MOEX ended (2024), technological independence of the trading and clearing systems becomes more important; mobile brokerage apps widen access; cyber risk rises with digitalisation.	**Mixed**
Environmental	ESG and green bonds are a new listing segment; global investors increasingly require ESG disclosure from issuers.	**Positive**
Legal	The market is regulated by the ARDFM and the NBK; the AIFC (AIX) offers English law and tax incentives that attract issuers; the new Tax Code effective from 2026 changes the tax environment for investors and issuers.	**Negative**

Source: NBK decision of 04.09.2026; KASE market results 2025; kase.kz shareholder data; team financial model (Sensitivity tab).

Two factors matter most: economic and legal. Lower interest rates cut directly into KASE's interest income, and the AIFC legal regime gives AIX an edge in attracting issuers. The social, technological and environmental trends are more positive, because they create room for new products that earn fees. So PESTEL leads us to the same conclusion as the SWOT: KASE needs to replace rate-driven income with fee income.

2.1.4. VRIO analysis

We used VRIO to check which of KASE's resources actually give it a lasting advantage. For each resource we asked four questions: is it valuable, is it rare, is it hard to imitate, and is KASE organised to use it?

Table 4 — VRIO analysis of KASE's resources

Resource / capability	V	R	I	O	Competitive implication
Exchange licence and central counterparty (CCP) role	**Yes**	**Yes**	**Yes**	**Yes**	Sustained competitive advantage
Liquidity and network effects in FX, repo and government bonds	**Yes**	**Yes**	**Yes**	**Yes**	Sustained competitive advantage
National Bank as anchor shareholder	**Yes**	**Yes**	**Yes**	**Yes**	Sustained competitive advantage
Strong, debt-free capital base (ROE 24%)	**Yes**	**Yes**	**No**	**Yes**	Temporary advantage
Trading and clearing IT infrastructure	**Yes**	**No**	**No**	**Yes**	Competitive parity
Equity listing and IPO services	**Yes**	**No**	**No**	**Yes**	Competitive parity (AIX offers the same)

Source: authors' assessment based on the SWOT and Porter analyses and the team financial model.

KASE's lasting advantages come from its position in the system: the licence and the central counterparty role, the liquidity in its core markets, and the backing of the National Bank. A competitor could not copy these quickly, which also explains why the threat of new entrants is low. Its strong capital base helps, but others could build one over time. In IT and in equity listings KASE has no real advantage over AIX, and this is exactly where competition happens. We think KASE should invest in its own technology and in products that use its liquidity.

2.1.5. Ansoff matrix: growth strategies

Finally, we used the Ansoff matrix to turn these findings into growth options. Table 5 shows how KASE could grow fee income and depend less on interest rates.

Table 5 — Ansoff matrix for KASE

	Existing products	New products
Existing markets	Market penetration (lowest risk): • attract more retail investors and brokers • grow corporate and MFO bond trading • more IPOs/SPOs of state-owned companies	Product development: • derivatives and hedging instruments • ETFs and fund units • ESG and green bonds
New markets	Market development: • foreign issuers and investors via KASE Global • regional hub for Central Asia	Diversification (highest risk): • market data and IT services • technology services for other exchanges and depositories

Source: authors' assessment.

We think market penetration and product development are the most realistic options, because they build on what KASE already has (its licence, liquidity and clients) and directly bring in more fees. KASE Global, which almost quadrupled in 2025, looks like the main opportunity in the medium term. Moving into data and technology services is the riskiest option, but it would make KASE less dependent on the base rate.

2.1.6. Summary of the strategic analysis

Taken together, the five tools point in the same direction. KASE has a lasting advantage in its core infrastructure (VRIO), and new competitors are unlikely (Porter). At the same time, the environment is working against its current way of earning money: rates are falling and the AIFC attracts issuers (PESTEL), while 61% of revenue is interest income (SWOT). The answer is to grow fee income through more clients and new products (Ansoff). For our valuation, this means the business is safe in the long run, but profit growth in the next few years will be modest.

2.2. Valuation: two-stage dividend discount model

2.2.1. Choice of method

A dividend discount model values a share as the present value of the dividends it will pay. We chose it for KASE for three reasons. First, most of KASE's balance sheet is clearing positions and participants' money, so free cash flow is hard to define; for exchanges and banks, dividends are a cleaner measure of what shareholders get. Second, KASE has a clear dividend policy and pays out 30–50% of profit. Third, the National Bank, as the main owner, is interested in regular dividends. We used a two-stage model: we forecast dividends for 2026–2030 directly and use the Gordon growth model for the years after. The valuation date is 10 September 2026, the date of the share price in our model (KZT 116,962).

2.2.2. Cost of equity

To discount the dividends we need the cost of equity in tenge. We estimated it with CAPM:

$$Ke = Rf + \beta \times ERP = 13.93\% + 0.9 \times 6.3\% = 19.6\%$$

Table 6 — Cost of equity inputs

Input	Value	Source / rationale
Risk-free rate, Rf	13.93%	Yield on 10-year KZT government bonds on 10.09.2026 (Investing.com)
Beta, β	0.90	Assumption: KASE shares are thinly traded, so a regression beta is unreliable; listed exchanges typically have betas of 0.7–1.0
Equity risk premium, ERP	6.30%	Damodaran (January 2026): mature-market premium 4.23% + Kazakhstan country risk premium 2.07%
Cost of equity, Ke	**19.6%**	**CAPM**

Source: team financial model (Valuation_DDM tab).

19.6% looks high compared with developed markets, but in Kazakhstan government bonds alone pay almost 14% in tenge, so it makes sense. The beta is the number we are least sure about, which is why we test it in Section 2.2.6.

2.2.3. Base year and assumptions

We started from the 2025 dividend of KZT 4,268.37 per share, which the shareholders approved on 28 May 2026 as about 30% of profit. This gives an audited EPS of 4,268.37 / 0.30 = KZT 14,228. Our model's FS tab still shows the unaudited Q4 figure (KZT 13,992), but since the dividend was based on audited profit, we used KZT 14,228. Our other assumptions are in Table 7.

Table 7 — DDM assumptions

Assumption	Value	Rationale
Stage 1 (2026–2030): EPS growth	12% p.a.	Below the 29% fee CAGR and 40% EPS CAGR for 2021–2025, because ≈60% of revenue is interest income and the NBK rate is falling
Stage 1: payout ratio	30%	Current dividend policy
Stage 2: long-term growth, gT	8%	NBK inflation target ≈5% plus real GDP growth ≈3–4%
Stage 2: sustainable ROE	20%	ROE 2025 = 23.9%, expected to normalise as rates fall
Stage 2: payout = 1 − gT / ROE	60%	To grow at 8% with a 20% ROE, KASE needs to retain 40% of earnings
First dividend (FY2026) paid	~10.06.2027	Same calendar as 2026; discount period 0.75 years from the valuation date

Source: team financial model (Valuation_DDM tab).

2.2.4. Stage 1: dividends for 2026–2030

We discount each dividend from the date it is expected to be paid. KASE pays dividends in June of the following year, so the 2026 dividend arrives about 0.75 years after our valuation date, the 2027 dividend after 1.75 years, and so on:

$$PV = DPS / (1 + Ke)^t$$

Table 8 — Dividend forecast and present value, KZT per share

Financial year	2026	2027	2028	2029	2030	Total
EPS	15,935	17,847	19,989	22,388	25,074	
Payout	30%	30%	30%	30%	30%	
DPS	4,781	5,354	5,997	6,716	7,522	
t, years	0.75	1.75	2.75	3.75	4.75	
Discount factor	0.875	0.731	0.612	0.511	0.428	
PV of DPS	**4,182**	**3,916**	**3,667**	**3,434**	**3,216**	**18,414**

Source: team financial model (Valuation_DDM tab).

2.2.5. Stage 2: terminal value and fair value

After 2030 we assume KASE grows at 8% a year and pays out 60% of its profit. The 2031 dividend is then 25,074 × 1.08 × 60% = KZT 16,248. Using the Gordon growth model, all dividends from 2031 onwards are worth this at the 2030 payment date:

$$TV = DPS2031 / (Ke - gT) = 16{,}248 / (19.6\% - 8.0\%) = KZT\ 140{,}071$$

Discounted back over 4.75 years (factor 0.428), this is KZT 59,880 today. Adding both stages gives the fair value:

$$Fair\ value = 18{,}414 + 59{,}880 = KZT\ 78{,}295\ per\ share$$

This is 33% below the market price of KZT 116,962 on 10 September 2026. About 76% of the value comes from the terminal value, which is normal for a DDM but means the result depends a lot on our assumptions, so we tested them below. At our fair value KASE would trade at 5.5 times 2025 earnings, while the market pays 8.2 times. We also reversed the Gordon formula to see what growth the market price assumes: about 15% a year forever, almost twice our 8%.

2.2.6. Sensitivity analysis

Tables 9 and 10 show how the fair value changes if we move the cost of equity, the long-term growth rate or the growth rate for 2026–2030. Our base case is highlighted.

Table 9 — Fair value (KZT) by cost of equity and long-term growth gT

Ke \ gT	6%	7%	8%	9%	10%
17.6%	93,533	95,447	97,638	100,203	103,291
18.6%	84,517	85,708	87,019	88,487	90,167
19.6%	76,898	77,583	**78,295**	79,039	79,827
20.6%	70,385	70,712	71,010	71,270	71,482
21.6%	64,762	64,834	64,844	64,777	64,613

Table 10 — Fair value (KZT) by cost of equity and stage-1 EPS growth g1

Ke \ g1	8%	10%	12%	14%	16%
17.6%	82,699	89,909	97,638	105,912	114,762
18.6%	73,828	80,196	87,019	94,322	102,130
19.6%	66,536	72,214	**78,295**	84,801	91,755
20.6%	60,445	65,547	71,010	76,852	83,094
21.6%	55,288	59,904	64,844	70,126	75,767

Source: team financial model (Valuation_DDM tab, sections 5–6).

Across all 50 combinations, the fair value stays between KZT 55,288 and KZT 114,762. Even the most optimistic case (a cost of equity of 17.6%, which is roughly a beta of 0.6, together with 16% EPS growth) is still below the market price. So our conclusion does not depend on the beta or on any single growth assumption.

2.3. Cross-check with justified multiples

To check the DDM, we also valued KASE with justified multiples, using the same cost of equity, growth and payout:

$$\text{Justified P/E} = \text{payout} \times (1 + g) / (Ke - g) = 0.60 \times 1.08 / (0.196 - 0.08) = 5.6x$$

$$\text{Justified P/B} = (ROE - g) / (Ke - g) = (0.239 - 0.08) / (0.196 - 0.08) = 1.4x$$

We applied them to audited EPS for 2025 (KZT 14,228) and to book value per share at the end of 2025 (KZT 58,626, which is KZT 63,036 mn of equity divided by 1,075,231 shares). Table 11 shows the results. We gave the DDM a 50% weight as our main method and 25% to each multiple.

Table 11 — Valuation summary

Method	Multiple	Value, KZT	Weight	vs price
Two-stage DDM	—	78,295	50%	−33.1%
Justified P/E × EPS 2025	5.6x	79,480	25%	−32.0%
Justified P/B × book value per share	1.4x	80,187	25%	−31.4%
Weighted target price		**79,064**	**100%**	**−32.4%**
What-if: DDM with 50% payout in 2026–2030		90,571		−22.6%

Source: team financial model (Recommendation tab).

All three methods land between KZT 78,000 and 80,000 per share, so the weights hardly change the result. We also checked what happens if KASE raised its payout to 50% from 2026: the DDM value would be KZT 90,571, which is still 23% below the price.

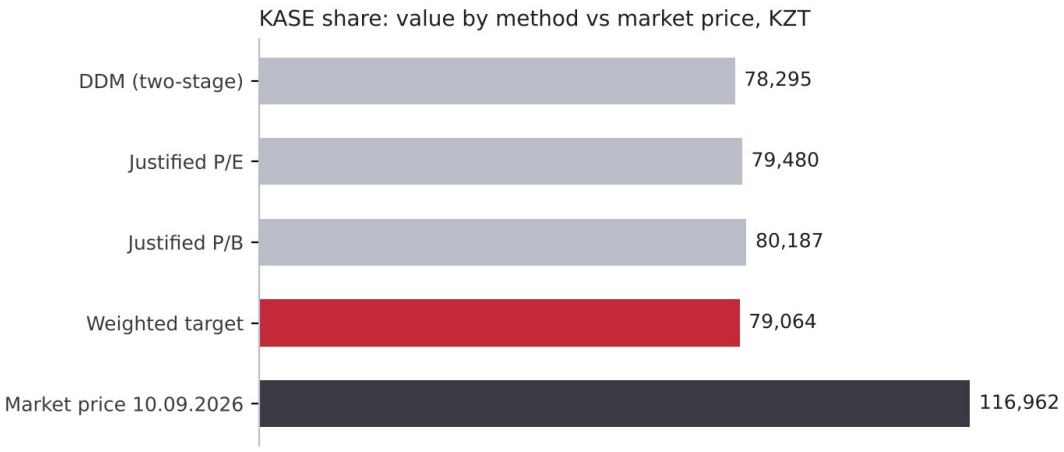


Figure 1 — Value of a KASE share by method vs the market price, KZT

2.4. Market check and fundamental scorecard

In Table 12 we compare the market price of KZT 116,962 with what the fundamentals justify. All five indicators say the same thing.

Table 12 — Market check at the 10.09.2026 price

Indicator	KASE	Benchmark	Benchmark used	Signal
P/E (price / audited EPS 2025)	8.2x	5.6x	Justified P/E	Expensive
P/B (price / book value per share)	2.0x	1.4x	Justified P/B	Expensive
Dividend yield	3.6%	13.9%	10Y government bond	Below bonds
Earnings yield (EPS / price)	12.2%	19.6%	Cost of equity	Below Ke
Perpetual dividend growth priced in	15.4%	8.0%	Long-term growth	Too optimistic

The scorecard in Table 13 shows a high-quality business that is slowing down. KASE scores well on profitability, leverage and liquidity, but poorly on growth, efficiency and sensitivity to rates.

Table 13 — Fundamental scorecard

Metric	2024	2025	Signal
ROE	30.0%	23.9%	+ above cost of equity
Net profit growth	−16.6%	−2.6%	− profit declined
Cost / Income	31.4%	37.9%	− efficiency worsened
Interest income, % of revenue	61.0%	60.6%	− rate-dependent
Net profit change if NBK rate −2 pp		−12.0%	− high sensitivity
Own assets / equity (excl. clearing)	5.6x	6.1x	+ no heavy leverage
Cash ratio	1.18x	1.16x	+ ≥ 1x
Score			**3 / 7**

Source: team financial model (Recommendation tab). 2024–2025 ratios use the model's FS data (2025 unaudited Q4 statements).

2.5. Investment recommendation

Recommendation: SELL. Target price KZT 79,064 per share (−32% vs KZT 116,962 on 10.09.2026).

We used the same rule as in our model: BUY if the upside is more than 15%, SELL if the downside is more than 15%, and HOLD in between. Our SELL recommendation is based on four points.

- All three methods value the share at KZT 78,000–80,000, and even our most optimistic DDM scenario (KZT 114,762) is below the market price.
- The price is demanding. It assumes 15% dividend growth forever, the dividend yield is only 3.6% while 10-year government bonds pay 13.9%, and the earnings yield (12.2%) is below the cost of equity (19.6%).
- Profit is under pressure. 61% of revenue is interest income and the National Bank is cutting rates (a 2-point cut means about 12% less profit). In 2025 costs grew 2.5 times faster than revenue and profit went down.
- KASE is a good company, but the market already pays for it. ROE of 24%, no debt and a near-monopoly deserve a premium, but at 8.2 times earnings and 2.0 times book value the shares trade well above the justified 5.6x and 1.4x.

What could change our view? A much higher dividend payout, fee income growing well above 12% a year (for example, after a wave of large IPOs or fast growth of KASE Global), or a sharp fall in the cost of equity as rates come down. At around KZT 80,000 per share we would consider the stock fairly valued.

Our analysis has some limitations. The beta of 0.9 is our own assumption, because KASE shares trade too rarely to estimate it. Three quarters of the DDM value is terminal value. The 2025 statements in our model are unaudited Q4 figures, although we took EPS from the audited dividend decision. KASE shares also trade in the non-listed sector with a small free float (we estimate about 19% without the National Bank and banks), so the market price may not reflect fair value. We tried to deal with this through the sensitivity tables and the multiples, and none of these points changes our conclusion.

We also have four suggestions for KASE's management. First, grow fee income from corporate bonds, FX, KASE Global, derivatives and listings to rely less on the base rate. Second, control costs and bring cost-to-income back to about 30%. Third, consider a higher and more predictable dividend payout. Fourth, increase the free float and liquidity of its own shares, so that the market price becomes a better signal of value.

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